CORPORATE LAWS AND PRACTICES

Suggested Answers
July-August 2025

Answer to the Question# 1(a) (i):

Assuming that C attends the board meeting (in which resignation of C is placed) with A & B the meeting may pass resolution for acceptance of resignation of C unanimously.

Answer to the Question# 1(a) (ii):

Since A & B intends to appoint M who is a shareholder of the Company in the place of C the meeting should be closed after passing one resolution i.e. acceptance of resignation of C. As per regulation 90 of schedule – I of the Companies Act 1994, A & B can co-opt M in place of C to increase the number of directors to form quorum. Accordingly, a separate board meeting will be convened in which meeting M will be appointed as a director to fill up the casual vacancy under section 91(1)(C) of the CA 1994.

Answer to the Question# 1(b) (i):

As per section 85(2)(b) of the **Companies Act, 1994**:
Unless the Articles of Association provides higher number, the quorum for a general meeting shall be **five members personally present** in the case of a public company.

Answer to the Question# 1(b) (ii):

The AGM of Sunrise Textile PLC was not valid due to lack of quorum**.**

- Only 4 members were present, but at least 5(five) are required to fulfill the quorum as per section 85(2)(b) of the Companies Act, 1994. However, as per provision of the Articles of Association of Sunrise Textiles PLC required number for quorum may be more than 5 (five).

Answer to the Question# 1(b) (iii):

Yes, **the resolutions passed in such a meeting can be challenged.**

- Resolutions passed in a meeting lacking quorum can be **challenged in court** and may be declared invalid due to non-compliances of provisions of the Articles of Association of the Company as well as provisions of section 85 (2) (b)Companies Act 1994**.**

Answer to the Question# 1(b) (iv):

If the quorum is not present within 30 minutes**:**

- The meeting is adjourned, and the adjourned meeting can be held at the same time and place in the following week, or as specified in the Articles.

Answer to the Question# 1(b) (v):

Yes**,** the Articles of Association may be altered with regard to statutory quorum requirements but in case of a public limited company minimum number of members shall be 5 (five).

- Section 85(2) provides the default quorum**,** but the company's Articles of Association (AoA) can set a higher quorum, and the higher quorum can further be reduced at minimum level through the special resolution.

Answer to the Question# 1(c):

Dividend Distribution Analysis Report
Company: ApexTech Ltd.
Fiscal Year: 2023–24
Prepared for: Board of Directors
Presented by: Company Secretary

1. Objective
This report evaluates the sources of funds used by ApexTech Ltd. for dividend distribution during FY 2023–24 and assesses compliance with statutory provisions under the Companies Act, 1994 (Bangladesh). It also examines whether shareholder entitlements were properly upheld.

2. Dividend Summary

Type	Amount
Interim Dividend	Tk. 1.50 per ordinary share
Final Dividend	Tk. 3.00 per ordinary share

Preference Dividend	Tk. 800,000 (8% cumulative)

Total Dividend Obligation:

- Ordinary Shares: 1,000,000 × (1.50 + 3.00) = Tk. 4,500,000
- Preference Shares: Tk. 800,000
- Total: Tk. 5,300,000

3. Available Financial Resources

Component	Amount (Tk.)
Net Profit (FY 2023–24)	2,000,000
Retained Earnings (from FY 2022–23)	1,000,000
Total Divisible Profit	**3,000,000**
Not useable for dividend	
Re-valuation Reserve	2,300,000
Share Premium Account	2,000,000
Capital Reserve (Pre-incorporation)	1,500,000

4. Statutory Compliance Assessment

Under the Companies Act, 1994:

- Permissible sources for dividend payments:
  - Current year's profit
  - Accumulated retained earnings
- Prohibited sources:
  - Revaluation Reserve
  - Share Premium Account
  - Capital Reserve (including pre-incorporation profits)

Findings:

- ApexTech's total divisible profit (Tk. 3,000,000) is insufficient to cover the total dividend obligation (Tk. 5,300,000).
- Any attempt to utilize the Revaluation Reserve, Capital Reserve, or Share Premium for dividend payments would violate statutory provisions.

5. Shareholder Entitlements

- Preference Shareholders are entitled to a cumulative dividend of Tk. 800,000, which must be paid prior to any distribution to ordinary shareholders.
- Ordinary Shareholders are entitled to dividends only from residual distributable profits after satisfying preference dividend obligations.

6. Conclusion and Recommendations

- ApexTech Ltd. has overcommitted on dividend declarations relative to its legally distributable profits.
- To ensure compliance:
  - The company should limit total dividend payments to Tk. 3,000,000.
  - Revaluation Reserve, Capital Reserve, and Share Premium should not be used for dividend purposes.
- The Board should therefore consider revising the final dividend proposal.

Answer to the Question# 2(a) (i):

Legal and Financial Consequences of Specific Compliance Breaches

1. Failure to publish audited financial statements within 120 days:
   - Legal Consequences: This violates the BSEC (Public Issue) Rules, 2015, which mandates listed companies to publish audited financials within 120 days of the fiscal year-end. BSEC may impose administrative penalties or issue show-cause notices.
   - Financial Consequences: Delayed disclosures can lead to suspension of trading, loss of investor trust, and potential downgrading by credit rating agencies, affecting the company's ability to raise capital.

2. Non-disclosure of Tk. 50 crore in related party transactions:

- Legal Consequences: This breaches disclosure requirements under BSEC's Corporate Governance Code and BAS-24 (Related Party Disclosures). It may result in regulatory sanctions, including fines and directives for restatement of financials.
- Financial Consequences: Concealing such transactions undermines financial transparency, potentially triggering shareholder lawsuits and reputational damage.

3. Circular trading through affiliated brokerage accounts:
   - Legal Consequences: This constitutes market manipulation under Section 17 of the Securities and Exchange Ordinance, 1969. BSEC may initiate enforcement actions, including criminal prosecution and penalties.
   - Financial Consequences: Artificial price inflation can lead to investor losses and class-action suits, and may prompt DSE to suspend or delist the company's shares.

Answer to the Question# 2(a) (ii):

Impact on Investor Confidence and Market Reputation

- Delayed Financial Reporting: Investors may perceive the company as lacking transparency or hiding poor performance, leading to reduced trading volumes and share price decline.
- Undisclosed Related Party Transactions: Raises concerns about governance and conflict of interest, especially involving the CEO's spouse, damaging credibility.
- Circular Trading: Suggests deliberate manipulation, which can severely tarnish the company's image and invite media scrutiny.

Answer to the Question# 2(a) (iii):

Specific Remedial Actions

1. Financial Reporting Compliance:
   - Immediately publish audited financials and ensure future adherence to the 120-day deadline under the Public Issue Rules.
2. Disclosure of Related Party Transactions:
   - Restate financials to include the Tk. 50 crore transaction and disclose it in line with BAS-24 and BSEC's Corporate Governance Code.
3. Addressing Circular Trading:
   - Cooperate with BSEC investigations, terminate implicated brokerage relationships, and implement surveillance mechanisms to detect unusual trading patterns.
4. Governance Enhancements:
   - Appoint an independent compliance officer, strengthen internal audit functions, and conduct board-level training on regulatory obligations.

Answer to the Question# 2(a) (iv):

Role of the Board and Audit Committee in Light of Breaches

- Board of Directors:
  - Must ensure timely financial disclosures and enforce accountability for non-compliance.
  - Should initiate an independent investigation into the circular trading and related party concealment.
- Audit Committee:
  - Should have flagged the delayed financial and undisclosed transactions during internal reviews.
  - Must enhance oversight of financial reporting and related party dealings.
  - Should recommend disciplinary measures against responsible executives and ensure future compliance through regular audits.

Answer to the Question# 2(b):

Under the Bangladesh Securities & Exchange Commission (BSEC) regulations, companies are required to adhere to strict financial reporting standards to ensure transparency and protect shareholders' interests. Capitalizing operating expenses like marketing costs, which should be spent in the current period, violates these standards and misleads stakeholders. So, by capitalizing BDT 1 billion of marketing expenses as an intangible asset, and spreading those expenses to amortize over five years, resulted in overstating of profit by BDT 800 million (1 billion – 200 million amortized in the current year) in 2024, this has resulted in higher EPS of BDT 200.

Remedy:

1) Restatement of Financials: ABC PLC should restate its financial statements for the fiscal year 2023-24 to reflect the correct treatment of marketing expenses as operating expenses. This ensures transparency and accuracy in financial reporting. **Accordingly, the revised EPS would be BDT 177.14 [(BDT 7 billion – BDT 800 million)/35 million shares]**.
2) Internal Controls: Strengthen internal controls to prevent future manipulation. Implement stricter policies for expense recognition and ensure that all legitimate expenses are recorded in the correct fiscal period.
3) Audit Committee Oversight: Enhance the role of the audit committee to regularly review financial statements and expense recognition policies. The committee should ensure compliance with accounting standards and detect any irregularities.
4) External Audit: Engage an independent external auditor to conduct a thorough review of the company's financial statements and internal controls. The auditor's report should be made available to shareholders and regulatory bodies.
5) Training and Awareness: Conduct training sessions for finance and accounting staff on ethical financial reporting practices and the importance of accurate expense recognition.

Answer to the Question# 2(c) (i):

Analysis of Corporate Governance Breakdown and Legal Provisions on Disclosure:
The failure of AetherTech Solutions Ltd.'s board and senior management to disclose the acquisition of NeuroGrid AI in a timely manner constitutes a serious breach of both corporate governance principles and securities law in Bangladesh.

Legal Framework:
Under the Bangladesh Securities and Exchange Commission (Prohibition of Insider Trading) Rules, 2022, and the Dhaka and Chittagong Stock Exchange (Listing) Regulations, 2015, listed companies are legally obligated to:

- Disclose price-sensitive information (PSI) promptly and accurately.
- Ensure that such information is made available to all market participants simultaneously to prevent information asymmetry.

The acquisition of a company, especially one that significantly alters the acquiring company's valuation or strategic direction, is clearly material information. According to Regulation 33 of the Listing Regulations, such information must be disclosed within thirty minutes of the decision being made.

Corporate Governance and Fiduciary Duties:
The board's decision to delay disclosure, despite the acquisition being contractually finalized, reflects a failure of governance. Directors and senior executives have a fiduciary duty to act in the best interests of the company and its shareholders. This includes:

- Ensuring transparency in material corporate decisions.
- Avoiding conflicts of interest.
- Preventing the misuse of confidential information for personal gain.

By allowing insiders to trade on undisclosed information, the board not only violated legal provisions but also compromised the integrity of the capital market and eroded investor trust.

Answer to the Question# 2(c) (ii):

Role of BSEC and Its Enforcement Powers
The Bangladesh Securities and Exchange Commission (BSEC) plays a central role in ensuring market integrity and protecting investors. In cases like this, where there is a potential breach of disclosure obligations and insider trading, the BSEC is empowered to take a range of actions:

1. Investigative Powers:
   - The BSEC can initiate an investigation under the Securities and Exchange Ordinance, 1969, to examine trading patterns, access internal communications, and identify individuals involved in the misconduct.

2. Enforcement Actions:
   - Monetary Penalties: The Commission may impose substantial fines on both the company and the individuals involved.
   - Disgorgement of Profits: Illegally gained profits from insider trading can be confiscated.
   - Criminal Prosecution: In severe cases, the BSEC can refer the matter for criminal prosecution, which may result in imprisonment under the 1969 Ordinance.
3. Administrative Sanctions:

- Suspension or disqualification of directors and officers from serving in listed companies.
- Public censure or blacklisting of the company.
- Mandated corrective disclosures and governance reforms.

4. Market-Wide Impact:
   - Such enforcement actions serve as a deterrent to other market participants and reinforce the importance of compliance and ethical conduct.

Conclusion

The case of AetherTech Solutions Ltd. illustrates how the deliberate withholding of material information and insider trading can lead to serious legal and ethical consequences. It underscores the importance of robust corporate governance, timely disclosure, and vigilant regulatory oversight in maintaining a fair and transparent capital market.

Answer to the Question# 3(a):

This audit is not valid under the Financial Reporting Act, 2015. As per the act, no auditor or any audit firm shall be eligible to be appointed as auditor of any Public Interest Entities (PIE) or not providing any services related to the audit without enrolling (Enlistment) with the Council (FRC) (Sec 31(1)).

As ABC Textiles Limited is a **listed company**, it is a PIE, and using an **unlisted auditor violates the Act**. Hence, as per section 33 of Financial Reporting Act 2015, FRC may take following actions:

- Invalidate the audit report;
- Issue of warning notice to the enlisted auditor; or
- By issuing one or more conditions, ordering to submit the report regularly; or
- Suspension of its activities as a listed auditor for a term which shall not exceed two (two) years; or
- Initiate disciplinary action through ICAB

Moreover, there is a punishment provision for any offence under this Act which may be extended to five years imprisonment or a minimum penalty of Tk.5 lac or with both (Section 48)

Answer to the Question# 3(b):

Both the management and the auditor may be held accountable.

Auditor:

- In relation to the preparation of audit report on financial statements of any public interest entity, the auditor shall give affidavit in the prescribed form by the regulation on the basis that the report has been prepared in accordance with the applicable auditing standards and the relevant provisions of this Act and any other law (Sec 35(1)).

Management:

- In the annual report of an organisation, the directors of the concerned company or the empowered officer expressed that the report has been prepared in compliance with the corporate governance code or any other regulatory, systematic arrangements, in which the auditor will specify whether it has made the report consistent with the conditions of that code or regulatory arrangements (Sec 35(3)).

Hence as per section 33, FRC can :

- Suspend or cancel the auditor's enlistment ;
- Issue of warning notice to the enlisted auditor; or
- Issue one or more conditions, ordering to submit the report regularly; or
- Suspend of its activities as a listed auditor for a term which shall not exceed two (two) years; or
- Initiate disciplinary action through ICAB
- Investigate the matters (Section 49)

Moreover, there is a punishment provision for any offence under this Act which may be extended to five years imprisonment or a minimum penalty of Tk.5 lac or with both. (Section 48)

Answer to the Question# 4(a) (i):

Legal Responsibilities of Bank Authorities
Under the Bank Company Act, 1991, bank directors and senior management are entrusted with fiduciary and statutory duties to ensure sound governance, risk management, and compliance.

a. Board Oversight and Governance (Section 15 & 15B)

- Section 15 and 15B mandates that the Board of Directors must ensure prudent management of the bank's affairs. In the GeoStar Bank case, the Board failed to detect or act upon repeated over-invoicing and fictitious trade transactions.
- The Audit Committee, a sub-committee of the Board, did not escalate known irregularities, violating its duty to ensure transparency and accountability.

b. Internal Control and Audit (Section 15C)

- Section 15C requires banks to establish an effective internal audit and control system. GeoStar Bank's internal audit unit lacked independence and failed to flag anomalies in trade finance operations, indicating a breach of statutory obligations.

c. Risk Management and Compliance (Section 45)

- Bangladesh Bank's guidelines through the Section 45 obliges banks to maintain robust risk management frameworks. The failure to detect over-invoicing and shell company transactions reflects a systemic breakdown in compliance and risk oversight.

Answer to the Question# 4(a) (ii):

Failures of External Auditors

a. Duty to Report Irregularities (Section 39)

- Section 39 requires auditors to report any material irregularities or fraud to Bangladesh Bank. XYZ & Co., the external auditor of GeoStar Bank, failed to report suspicious L/C settlements and trade finance anomalies, constituting a breach of this duty.

b. External Auditors – Professional Negligence and Statutory Violations

The actions of XYZ & Co., the external auditors of GeoStar Bank, likely constitute professional negligence and statutory violations:

- Auditors are legally obligated to report material irregularities to Bangladesh Bank. Their failure to report suspicious L/C transactions and over-invoicing breaches this duty (Ref. section 39)
- The law mandates the importance of auditor independence and integrity. XYZ & Co.'s failure to maintain professional skepticism and their conflict of interest (providing advisory services to the same client) violate this provision.
- Bank Company (External Auditor) Rules 2024: These rules require auditors to conduct thorough reviews of high-risk areas such as trade finance. The issuance of clean audit reports despite glaring anomalies indicates a failure to meet professional standards.
- Their issuance of unqualified audit reports despite glaring red flags amounts to professional negligence and a violation of ethical standards under ICAB and international auditing norms.

Answer to the Question# 4(a) (iii):

Legal and Regulatory Consequences

a. For Bank Officials

- Bangladesh Bank may invoke Section 46 to remove directors or senior officials for misconduct or negligence.
- Under Section 27B, individuals involved in willful default or fraud may be barred from holding directorships for five years and subject to monetary penalties.

b. For the Audit Firm

- Bangladesh Bank and ICAB may impose sanctions, including blacklisting, license suspension, and financial penalties.
- The firm may also face civil liability for damages caused by its negligence under tort law principles.

Answer to the Question# 4(a) (iv):

Recommendation:

The GeoStar Bank case illustrates a systemic failure of governance, where both internal and external oversight mechanisms collapsed. The bank's senior management and board violated their fiduciary duties under the Bank Company Act, while the external auditors failed in their statutory and professional responsibilities. This case underscores the urgent need for:

- Strengthening regulatory enforcement,
- Enhancing audit quality and independence,
- Empowering internal control functions, and
- Ensuring accountability at all levels of financial governance.

Answer to the Question# 4(b):

Regulatory Treatment of UPAS LC under the Bank Company Act, 1991:

Nature of UPAS LC: UPAS LC (Usance Payable at Sight) is a hybrid instrument that combines features of Sight LC and Usance LC, allowing immediate payment to the exporter while deferring payment by the importer to the issuing bank, typically within 30–180 days.

Risk Management:

- Section 27 imposes restrictions on loans and advances, treating the deferred payment under UPAS LC as credit exposure to the importer.
- Banks must comply with single borrower exposure limits, collateral requirements, and creditworthiness assessments, ensuring proper classification and provisioning per Bangladesh Bank guidelines.

Foreign Exchange Oversight:

- Section 45 empowers Bangladesh Bank to issue directives for foreign exchange transactions, including LC settlements, ensuring UPAS LC compliance with FX regulations.
- It also monitors interest rates, discounting charges, and confirmation fees to prevent excessive costs for importers.

Compliance Requirements:

- UPAS LC must be supported by genuine trade documentation, with transparent disclosure of interest and charges.

Banks are required to report UPAS LC exposures in regulatory filings and maintain appropriate FX reserves.

Answer to the Question# 5:

Under ***Section 13 of Finance Companies Act, 2023***, a financial institution is **prohibited from declaring dividends** unless all capitalized expenses and accumulated losses have been fully written off.

In this case, ABC Financial Institution must deduct the following from its net profit before considering any dividend distribution:

- Preliminary expenses: BDT 5 million
- Organizational expenses: BDT 3 million
- Commission and brokerage fees: BDT 2 million
- Accumulated losses: BDT 10 million

Total adjustments: BDT 20 million

Therefore, the adjusted distributable profit is:

BDT 100 million – BDT 20 million = BDT 80 million, The company shall also keep statutory reserve @ 20% if so applicable for the company under section 8.

This means the maximum permissible dividend is BDT 80 million subject to the provision of Statutory Reserve, Board and AGM approval. Declaring dividends without these adjustments would constitute a regulatory breach, potentially attracting penalties from the Bangladesh Bank and legal action from shareholders.

Answer to the Question# 6(a):

EverTrust Insurance PLC and its directors are liable under multiple provisions of The Insurance Act, 2010 due to serious violations of governance, fiduciary duties, and statutory compliance.

1. Misuse of Company Funds and Loans to Directors

- Section 53 prohibits insurers from making loans to directors or related parties, except in compliance with rules set by IDRA.
- Misuse of company funds and self-dealing violates fiduciary responsibilities and can be treated as fraud or misappropriation.
- IDRA may:
  - Direct recovery of funds.
  - Disqualify directors from holding office under Section 75.
  - Refer the matter for criminal prosecution under Section 85 (false or misleading statements or actions).

2. Failure to hold AGMs
   - Under Section 18, insurers must comply with Companies Act provisions, including holding AGMs.
   - Repeated failure to hold AGMs amounts to corporate mismanagement, allowing IDRA to:
     - Issue a show-cause notice.
     - Suspend or cancel registration (Section 75).
     - Take over management under Section 46, by appointing an administrator.

3. Non-maintenance of Investment Register
   - Section 49 mandates proper investment management and record-keeping by insurers.
   - Section 50 requires insurers to submit an annual return of investments.
   - Violation may result in:
     - Fines under Section 86.
     - Investigation and prosecution for concealment or misstatement under Section 85.

4. Non-payment of Claims
   - Non-payment of legitimate claims violates Section 58, which sets a 90-day limit for settlement.
   - Repeated default can attract regulatory penalties and even cancellation of license under Section 75.

Conclusion:
IDRA has the authority to:
- Penalize or prosecute directors individually (Section 85).
- Appoint an administrator to protect policyholders' interests (Section 46).
- Cancel or suspend the insurer's license (Section 75).

Direct compensation and restore compliance through orders under Section 73.

Answer to the Question# 6(b):

Violation of the Insurance Act 2010: The agent's offer of a 10% discount on the first year's premium directly violates Section 60 of the Insurance Act 2010, which prohibits any rebate of commission or premium shown on the policy.

Financial Implications:
First Year Premium (without discount): BDT 50,000
First Year Premium (with 10% discount): BDT 45,000
Commission to Agent (35% of BDT 50,000): BDT 17,500

Consequences:
For the Agent:
The agent may face penalties, such as fines or license cancellation, for breaching Section 60 of the Insurance Act 2010.

For SecureLife Insurance Ltd.:
The company could be held responsible for the agent's actions and may face regulatory scrutiny, fines, or other penalties.

Answer to the Question# 7(a):

No, the action of the employer is not valid**.** This is a violation of s**ection 195 of** the Bangdesh Labour Act, 2006. Employers cannot:
- Dismiss or suspend a worker for **participating in lawful union activity**
- Use disciplinary grounds **as a cover** for union suppression

As per section 202(3), a trade union officer **cannot be dismissed or punished** without **prior permission from the Labour Court. Moreover, as per section 24(1), e**ven for genuine misconduct, **suspension or punishment must follow a lawful inquiry**, including written charge sheet and opportunity to defend.

Conclusion:
The suspension is **malicious and illegal**, and Mr. Farid can seek:

- **Immediate reinstatement**
- **Compensation**
- **Union protection orders** from the Labour Court.

Answer to the Question# 7(b) (i):

As per section 232 of the Bangladesh Labour Act 2006, Babylon is required to establish a Participation Fund and a Welfare Fund. Establishing these funds are mandatory if the company meets either of the following conditions:

a) the number of workers employed by the company in any shift at any time during a year is one hundred or more;
b) having a paid-up capital of at least 1 crore taka (10 million BDT) or
c) possessing fixed assets of at least 2 crore taka (20 million BDT).

With a paid-up capital of BDT 1,000 million, Babylon fulfils one of the conditions.

Despite having accumulated losses, Babylon is required to allocate 5% of its net profit to the Participation Fund and Welfare Fund, as the company achieved a profit in the 2023-24 fiscal period.

Answer to the Question# 7(b) (ii):

According to section 234(2) of the Bangladesh Labour Act 2006, the required contribution to the Funds under the law for a specific year is considered allocated on the first day of the following year.

In line with section 240(6) of the same Act, even if Babylon does not utilize the allocated amount, the company is obligated to pay interest. The interest rate is either two and a half percent above the bank rate or seventy-five percent of the rate at which dividend is declared on its ordinary shares, whichever is higher. Therefore, if Babylon faces liquidity issues and delays the payment, it is legally required to pay interest, which will further exacerbating its financial crisis.

---The End---